Taiwan Semiconductor Manufacturing Corp 2330.TW

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EQUITY: FOUNDRY

AI semi demand continues to rise; maintain Buy

TSMC also checks on data center build status and believes power supply would not affect its capacity plans

TSMC believes AI demand is robust and it has no intention to leave food on the table for others; reiterate Buy with a higher TP of TWD3,745 (~54% implied upside)

TSMC again raised its 2026E revenue growth guidance (USD terms) to ~44% from "slightly above 40%", unsurprisingly on "extremely robust" AI demand, and kept capex guidance at USD60-64bn. All point to the "non-event" setup we indicated in *our preview* – as investors are apparently not satisfied by just these positive remarks and instead hope to scrutinize how the AI cycle could trend into 2027-28E, while we have to wait till the January earnings call for more color. 4Q26E GM guidance of 65-67% might appear lackluster vs. the Street consensus biased toward the upper end, but we think the sequential downtick is understandable given the rapid ramp-up of N2 (whose annual capacity is expected to more than double in 2027E). Meanwhile, we believe price actions across nodes into 2027F could help mitigate some cost pressures and therefore keep our 2027-28F GM largely unchanged. TSMC remains committed to expediting the advanced capacity builds and "has no intention to leave food on the table for others", and in addition to internal capacity planning system, management somewhat acknowledges the AI bottleneck could lie beyond the Asia supply chain by "checking on the data center build-out progress and power supply situation in the US". This echoes our initiative of greenfield data center tracking (*Anchor Report*), and our most recent studies also suggest continued momentum to support TSMC's operations (*Anchor Report*).

We fine-tune 2026-28F EPS by 3-4%, which sends our TP higher to TWD3,745 based on an unchanged 25x 2027F EPS of TWD150, near the high end of TSMC's historical band of 10-30x. TSMC now trades at 16x 2027F EPS. TSMC's local shares (P/E based on Bloomberg consensus EPS) are trading at a 6% discount to SOX's one-year forward P/E (20x; based on consensus). We reiterate Buy as we believe TSMC should trade at a premium to SOX due to its AI-enabler position and robust growth outlook.

Possibly a broader scope of US expansion?

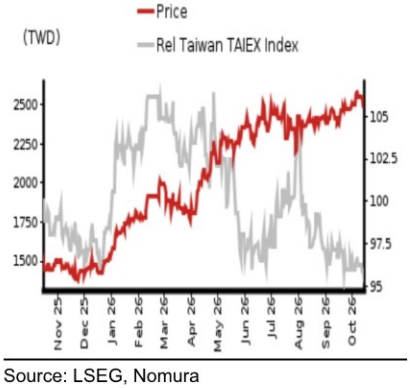
TSMC noted that it is evaluating expansion outside Arizona, hinting possibly much stronger demand than it initially planned, and does not rule out Texas as an option. Management does not deny potential utilization of the planned capacity by TeraFab (unlisted), albeit in an early stage of collaborative discussion, and stresses the baseline of TSMC's business model is to run the facility on TSMC's own.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (TWD)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	3,809,054	5,485,287	5,600,789	7,522,680	7,751,132	9,422,089	9,739,884
Reported net profit (mn)	1,717,883	2,795,732	2,879,696	3,749,048	3,883,659	4,719,526	4,916,816
Normalised net profit (mn)	1,717,883	2,795,732	2,879,696	3,749,048	3,883,659	4,719,526	4,916,816
FD normalised EPS	66.26	107.82	111.06	144.58	149.77	182.01	189.61
FD norm. EPS growth (%)	46.4	62.7	67.6	34.1	34.9	25.9	26.6
FD normalised P/E (x)	36.8	–	22.0	–	16.3	–	12.9
EV/EBITDA (x)	23.4	–	14.7	–	10.4	–	7.8
Price/book (x)	11.7	–	8.3	–	5.9	–	4.2
Dividend yield (%)	0.9	–	1.1	–	1.1	–	1.1
ROE (%)	35.4	43.0	44.1	41.2	42.1	37.4	38.1
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash	net cash	net cash

Source: Company data, Nomura estimates

Rating Remains	**Buy**
Target price Increased from TWD 3,615.00	**TWD 3,745.00**
Closing price 15 October 2026	**TWD 2,440.00**
Implied upside	**+53.5%**
Market Cap (USD mn)	1,954,077.5
ADT (USD mn)	1,998.1

Relative performance chart



Source: LSEG, Nomura

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See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

Key data on Taiwan Semiconductor Manufacturing Corp

Performance

(%)	1M	3M	12M		
Absolute (TWD)	2.3	0.0	66.6	M cap (USDmn)	1,954,077.5
Absolute (USD)	0.5	-0.6	57.0	Free float (%)	90.1
Rel to Taiwan TAIEX Index	-4.5	-6.6	-11.7	3-mth ADT (USDmn)	1,998.1

Income statement (TWDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	2,894,308	3,809,054	5,600,789	7,751,132	9,739,884
Cost of goods sold	-1,269,954	-1,527,760	-1,872,489	-2,552,592	-3,197,110
Gross profit	1,624,354	2,281,294	3,728,300	5,198,540	6,542,773
SG&A	-302,301	-345,202	-449,230	-670,611	-842,673
Employee share expense	0	0	0	0	0
Operating profit	1,322,053	1,936,092	3,279,070	4,527,929	5,700,100
EBITDA	1,984,850	2,624,188	4,121,861	5,694,066	7,258,875
Depreciation	-662,797	-688,096	-842,791	-1,166,137	-1,558,775
Amortisation	0	0	0	0	0
EBIT	1,322,053	1,936,092	3,279,070	4,527,929	5,700,100
Net interest expense	67,781	86,206	115,894	169,956	250,097
Associates & JCEs	4,879	5,497	5,719	5,711	5,711
Other income	11,125	13,868	75,953	4,000	4,000
Earnings before tax	1,405,839	2,041,663	3,476,635	4,707,596	5,959,908
Income tax	-233,407	-326,266	-595,845	-822,830	-1,041,984
Net profit after tax	1,172,432	1,715,397	2,880,791	3,884,767	4,917,924
Minority interests	836	2,486	-1,095	-1,108	-1,108
Other items	0	0	0	0	0
Preferred dividends	0	0	0	0	0
Normalised NPAT	1,173,268	1,717,883	2,879,696	3,883,659	4,916,816
Extraordinary items	0	0	0	0	0
Reported NPAT	1,173,268	1,717,883	2,879,696	3,883,659	4,916,816
Dividends	-440,851	-570,516	-726,107	-726,107	-726,107
Transfer to reserves	732,417	1,147,366	2,153,589	3,157,551	4,190,708
Valuations and ratios					
Reported P/E (x)	53.9	36.8	22.0	16.3	12.9
Normalised P/E (x)	53.9	36.8	22.0	16.3	12.9
FD normalised P/E (x)	53.9	36.8	22.0	16.3	12.9
Dividend yield (%)	0.7	0.9	1.1	1.1	1.1
Price/cashflow (x)	34.6	27.8	18.7	13.1	10.2
Price/book (x)	14.8	11.7	8.3	5.9	4.2
EV/EBITDA (x)	31.3	23.4	14.7	10.4	7.8
EV/EBIT (x)	46.9	31.7	18.4	13.0	9.9
Gross margin (%)	56.1	59.9	66.6	67.1	67.2
EBITDA margin (%)	68.6	68.9	73.6	73.5	74.5
EBIT margin (%)	45.7	50.8	58.5	58.4	58.5
Net margin (%)	40.5	45.1	51.4	50.1	50.5
Effective tax rate (%)	16.6	16.0	17.1	17.5	17.5
Dividend payout (%)	37.6	33.2	25.2	18.7	14.8
ROE (%)	30.3	35.4	44.1	42.1	38.1
ROA (pretax %)	30.7	39.9	54.1	58.2	60.6
Growth (%)					
Revenue	33.9	31.6	47.0	38.4	25.7
EBITDA	36.5	32.2	57.1	38.1	27.5
Normalised EPS	39.9	46.4	67.6	34.9	26.6
Normalised FDEPS	39.9	46.4	67.6	34.9	26.6

Source: Company data, Nomura estimates

Cashflow statement (TWDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	1,984,850	2,624,188	4,121,861	5,694,066	7,258,875
Change in working capital	-90,016	30,788	-59,049	-205,681	-278,250
Other operating cashflow	-68,657	-380,000	-678,703	-648,874	-787,887
Cashflow from operations	1,826,177	2,274,976	3,384,109	4,839,511	6,192,738
Capital expenditure	-955,112	-1,271,613	-1,968,714	-2,544,000	-2,862,000
Free cashflow	871,065	1,003,362	1,415,395	2,295,511	3,330,738
Reduction in investments	-57,882	-37,079	-65,097	0	0
Net acquisitions	0	0	0	0	0
Dec in other LT assets	0	0	0	0	0
Inc in other LT liabilities	0	0	0	0	0
Adjustments	148,151	164,299	236,245	0	0
CF after investing acts	961,334	1,130,582	1,586,543	2,295,511	3,330,738
Cash dividends	-363,055	-466,779	-622,380	-726,107	-726,107
Equity issue	0	0	0	0	0
Debt issue	55,866	40,448	-9,111	0	0
Convertible debt issue	0	0	0	0	0
Others	8,054	-64,022	18,335	0	0
CF from financial acts	-299,135	-490,353	-613,156	-726,107	-726,107
Net cashflow	662,199	640,229	973,387	1,569,404	2,604,631
Beginning cash	1,465,428	2,127,627	2,767,856	3,741,243	5,310,647
Ending cash	2,127,627	2,767,856	3,741,243	5,310,647	7,915,278
Ending net debt	-1,109,340	-1,734,869	-2,757,730	-4,327,134	-6,931,765

Balance sheet (TWDmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	2,127,627	2,767,856	3,741,243	5,310,647	7,915,278
Marketable securities	357,531	360,441	395,085	395,085	395,085
Accounts receivable	272,088	282,059	550,810	687,195	857,936
Inventories	287,869	288,109	492,430	589,577	740,293
Other current assets	43,237	118,664	156,637	156,637	156,637
Total current assets	3,088,352	3,817,131	5,336,205	7,139,141	10,065,229
LT investments	149,040	172,370	225,718	231,430	237,141
Fixed assets	3,234,980	3,691,841	4,949,006	6,326,869	7,630,094
Goodwill	0	0	0	0	0
Other intangible assets	0	0	0	0	0
Other LT assets	219,565	251,682	216,841	216,841	216,841
Total assets	6,691,938	7,933,024	10,727,777	13,914,281	18,149,305
Short-term debt	59,858	136,926	213,198	213,198	213,198
Accounts payable	74,227	84,330	141,172	169,022	212,230
Other current liabilities	1,130,441	1,236,763	1,631,917	1,631,917	1,631,917
Total current liabilities	1,264,525	1,458,019	1,986,287	2,014,138	2,057,346
Long-term debt	958,429	896,062	770,315	770,315	770,315
Convertible debt	0	0	0	0	0
Other LT liabilities	145,408	118,147	271,600	271,600	271,600
Total liabilities	2,368,362	2,472,229	3,028,202	3,056,053	3,099,261
Minority interest	35,031	41,199	45,603	46,711	47,819
Preferred stock	0	0	0	0	0
Common stock	332,588	332,771	331,643	331,643	331,643
Retained earnings	3,917,252	5,103,502	7,289,209	10,446,760	14,637,468
Proposed dividends	0	0	0	0	0
Other equity and reserves	38,705	-16,676	33,114	33,114	33,114
Total shareholders' equity	4,288,545	5,419,596	7,653,966	10,811,517	15,002,225
Total equity & liabilities	6,691,938	7,933,024	10,727,777	13,914,281	18,149,305
Liquidity (x)					
Current ratio	2.44	2.62	2.69	3.54	4.89
Interest cover	–	–	–	–	–
Leverage					
Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash
Per share					
Reported EPS (TWD)	45.25	66.26	111.06	149.77	189.61
Norm EPS (TWD)	45.25	66.26	111.06	149.77	189.61
FD norm EPS (TWD)	45.25	66.26	111.06	149.77	189.61
BVPS (TWD)	165.37	208.99	295.15	416.91	578.51
DPS (TWD)	17.00	22.00	28.00	28.00	28.00
Activity (days)					
Days receivable	29.9	26.6	27.1	29.1	29.0
Days inventory	77.4	68.8	76.1	77.4	76.1
Days payable	18.9	18.9	22.0	22.2	21.8
Cash cycle	88.4	76.4	81.2	84.3	83.3

Source: Company data, Nomura estimates

Company profile

Founded in 1987, Taiwan Semiconductor Manufacturing Corp. is a leading foundry player with the most advanced process technology.

Valuation Methodology

Our TP of TWD3,745 is based on 25x 2027F EPS. Our target P/E is at the higher end of historical range. The benchmark index for the stock is Taiwan TAIEX and SOX.

Risks that may impede the achievement of the target price

Major downside risks are: 1) top-down macro issues because of US-China trade tensions; 2) weaker-than-expected sell-through compared with strong demand in the supply chain; 3) slower-than-expected technology migration; and 4) stronger-than-expected competition in advanced 5/3nm nodes.

ESG

TSMC officially sets “Acting with Integrity”, “Strengthening Environmental Protection”, and “Caring for the Disadvantaged” as its primary ESG mission.

Financial analysis and forecasts

Fig. 1: TSMC's 3Q26 results vs Nomura forecasts and Bloomberg consensus

	3Q26							
(TWD mn)	Actual	q-q	NMR	q-q	Diff.	BBG	q-q	Diff.
Revenue	1,494,243	17.6%	1,465,171	15.3%	2.0%	1,467,120	15.5%	1.8%
Gross profit	992,379	15.4%	972,366	13.0%	2.1%	983,572	14.3%	0.9%
- Opex	(116,436)	17.6%	(131,159)	32.5%	-11.2%	(119,348)	20.6%	-2.4%
Operating profit	876,445	14.3%	841,207	9.7%	4.2%	864,224	12.7%	1.4%
Pretax profit	911,039	5.6%	869,165	0.8%	4.8%	890,316	3.2%	2.3%
Net profit	763,064	8.0%	717,024	1.5%	6.4%	740,602	4.8%	3.0%
EPS (TWD)	29.43	8.0%	27.65	1.5%	6.4%	28.71	5.4%	2.5%
Margin	**Actual**		**NMR**		**Diff.**	**BBG**		**Diff.**
Gross margin	66.4%		66.4%		5bps	67.0%		-63bps
- Opex ratio	-7.8%		-9.0%		116bps	-8.1%		34bps
Operating margin	58.7%		57.4%		124bps	58.9%		-25bps
Pretax margin	61.0%		59.3%		165bps	60.7%		29bps
Net margin	51.1%		48.9%		213bps	50.5%		59bps

Note: The NMR numbers above for 3Q26 are pre-earnings.
Source: Company data, Bloomberg Finance L.P., Nomura estimates

Fig. 2: TSMC's 4Q26E guidance vs Nomura forecasts and Bloomberg consensus

	4Q26E								
(TWD mn)	Guidance	q-q	NMR	q-q	Diff.	BBG	q-q	Diff.	Remarks
Revenue	1,694,940	13.4%	1,615,632	10.3%	4.9%	1,623,213	10.6%	4.4%	USD52.3-54.3bn
Gross profit	1,118,660	12.7%	1,079,694	11.0%	3.6%	1,083,982	10.2%	3.2%	FX: TWD31.8/USD
- Opex	(144,070)	23.7%	(139,781)	6.6%	3.1%	(125,228)	4.9%	15.0%	
Operating profit	974,591	11.2%	939,913	11.7%	3.7%	958,754	10.9%	1.7%	
Pretax profit			969,328	11.5%		983,790	10.5%		
Net profit			799,666	11.5%		813,563	9.9%		
EPS (TWD)			30.84	11.5%		31.65	10.2%		
Margin	**Guidance**		**NMR**		**Diff.**	**BBG**		**Diff.**	**Remarks**
Gross margin	66.0%		66.8%		-83bps	66.8%		-78bps	65.0-67.0%
- Opex ratio	-8.5%		-8.7%		15bps	-7.7%		-79bps	
Operating margin	57.5%		58.2%		-68bps	59.1%		-157bps	56.5-58.5%
Pretax margin			60.0%			60.6%			
Net margin			49.5%			50.1%			

Note: The NMR numbers above for 4Q26 are pre-earnings.
Source: Company data, Bloomberg Finance L.P., Nomura estimates

Fig. 3: TSMC — 2026-28F forecast revisions

	2026F			2027F			2028F		
(TWD mn)	Revised	Previous	Change	Revised	Previous	Change	Revised	Previous	Change
Revenue	5,600,789	5,485,287	2.1%	7,751,132	7,522,680	3.0%	9,739,884	9,422,089	3.4%
Gross profit	3,728,300	3,663,666	1.8%	5,198,540	5,057,317	2.8%	6,542,773	6,338,651	3.2%
Operating profit	3,279,070	3,206,689	2.3%	4,527,929	4,406,471	2.8%	5,700,100	5,523,472	3.2%
Pretax profit	3,476,635	3,388,723	2.6%	4,707,596	4,544,151	3.6%	5,959,908	5,720,488	4.2%
Net profit	2,879,696	2,795,732	3.0%	3,883,659	3,749,048	3.6%	4,916,816	4,719,526	4.2%
EPS (TWD)	111.06	107.82	3.0%	149.77	144.58	3.6%	189.61	182.01	4.2%
Margin	**Revised**	**Previous**	**Change**	**Revised**	**Previous**	**Change**	**Revised**	**Previous**	**Change**
Gross margin	66.6%	66.8%	-22bps	67.1%	67.2%	-16bps	67.2%	67.3%	-10bps
Operating margin	58.5%	58.5%	9bps	58.4%	58.6%	-16bps	58.5%	58.6%	-10bps
Pretax margin	62.1%	61.8%	30bps	60.7%	60.4%	33bps	61.2%	60.7%	48bps
Net margin	51.4%	51.0%	45bps	50.1%	49.8%	27bps	50.5%	50.1%	39bps

Source: Nomura estimates

Fig. 4: TSMC's P&L

(TWD mn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025	2026F	2027F	2028F
Revenue	839,254	933,792	989,918	1,046,090	1,134,103	1,270,380	1,494,243	1,702,062	1,734,639	1,879,330	2,013,657	2,123,506	3,809,054	5,600,789	7,751,132	9,739,884
Revenue (USD mn)	25,526	30,070	33,097	33,731	35,898	40,201	46,720	53,524	54,548	59,098	63,323	66,777	122,424	176,343	243,746	306,286
Gross profit	493,395	547,369	588,543	651,987	751,295	860,311	992,379	1,124,315	1,157,416	1,256,500	1,352,844	1,431,781	2,281,294	3,728,300	5,198,540	6,542,773
- Opex	(85,186)	(84,508)	(87,764)	(88,191)	(94,006)	(98,982)	(116,436)	(147,259)	(150,077)	(162,595)	(174,217)	(183,721)	(345,650)	(456,682)	(670,611)	(842,673)
Operating profit	407,081	463,424	500,685	564,902	658,966	766,603	876,445	977,056	1,007,339	1,093,904	1,178,627	1,248,060	1,936,092	3,279,070	4,527,929	5,700,100
Pretax profit	430,895	493,035	525,369	592,363	687,800	862,430	911,039	1,015,367	1,046,981	1,136,687	1,224,917	1,299,012	2,041,663	3,476,635	4,707,596	5,959,908
Net profit	361,564	398,273	452,301	505,744	572,480	706,562	763,064	837,590	863,690	937,718	1,010,538	1,071,713	1,717,883	2,879,696	3,883,659	4,916,816
EPS (TWD)	13.95	15.36	17.44	19.51	22.08	27.25	29.43	32.30	33.31	36.16	38.97	41.33	66.26	111.06	149.77	189.61
Profitability	**1Q25**	**2Q25**	**3Q25**	**4Q25**	**1Q26**	**2Q26**	**3Q26**	**4Q26F**	**1Q27F**	**2Q27F**	**3Q27F**	**4Q27F**	**2025**	**2026F**	**2027F**	**2028F**
Gross margin	58.8%	58.6%	59.5%	62.3%	66.2%	67.7%	66.4%	66.1%	66.7%	66.9%	67.2%	67.4%	59.9%	66.6%	67.1%	67.2%
- Opex ratio	-10.2%	-9.1%	-8.9%	-8.4%	-8.3%	-7.8%	-7.8%	-8.7%	-8.7%	-8.7%	-8.7%	-8.7%	-9.1%	-8.2%	-8.7%	-8.7%
Operating margin	48.5%	49.6%	50.6%	54.0%	58.1%	60.3%	58.7%	57.4%	58.1%	58.2%	58.5%	58.8%	50.8%	58.5%	58.4%	58.5%
Pretax margin	51.3%	52.8%	53.1%	56.6%	60.6%	67.9%	61.0%	59.7%	60.4%	60.5%	60.8%	61.2%	53.6%	62.1%	60.7%	61.2%
Net margin	43.1%	42.7%	45.7%	48.3%	50.5%	55.6%	51.1%	49.2%	49.8%	49.9%	50.2%	50.5%	45.1%	51.4%	50.1%	50.5%
Q-Q	**1Q25**	**2Q25**	**3Q25**	**4Q25**	**1Q26**	**2Q26**	**3Q26**	**4Q26F**	**1Q27F**	**2Q27F**	**3Q27F**	**4Q27F**				
Revenue	-3.4%	11.3%	6.0%	5.7%	8.4%	12.0%	17.6%	13.9%	1.9%	8.3%	7.1%	5.5%				
Revenue (in USD)	-5.1%	17.8%	10.1%	1.9%	6.4%	12.0%	16.2%	14.6%	1.9%	8.3%	7.1%	5.5%				
Gross profit	-3.7%	10.9%	7.5%	10.8%	15.2%	14.5%	15.4%	13.3%	2.9%	8.6%	7.7%	5.8%				
Operating profit	-4.4%	13.8%	8.0%	12.8%	16.7%	16.3%	14.3%	11.5%	3.1%	8.6%	7.7%	5.9%				
Pretax profit	-4.0%	14.4%	6.6%	12.8%	16.1%	25.4%	5.6%	11.5%	3.1%	8.6%	7.8%	6.0%				
Net profit	-3.5%	10.2%	13.6%	11.8%	13.2%	23.4%	8.0%	9.8%	3.1%	8.6%	7.8%	6.1%				
Y-Y	**1Q25**	**2Q25**	**3Q25**	**4Q25**	**1Q26**	**2Q26**	**3Q26**	**4Q26F**	**1Q27F**	**2Q27F**	**3Q27F**	**4Q27F**	**2025**	**2026F**	**2027F**	**2028F**
Revenue	41.6%	38.6%	30.3%	20.5%	35.1%	36.0%	50.9%	62.7%	53.0%	47.9%	34.8%	24.8%	31.6%	47.0%	38.4%	25.7%
Revenue (in USD)	35.3%	44.4%	40.8%	25.5%	40.6%	33.7%	41.2%	58.7%	52.0%	47.0%	35.5%	24.8%	35.9%	44.0%	38.2%	25.7%
Gross profit	56.9%	52.8%	34.0%	27.2%	52.3%	57.2%	68.6%	72.4%	54.1%	46.1%	36.3%	27.3%	40.4%	63.4%	39.4%	25.9%
Operating profit	63.5%	61.7%	38.8%	32.7%	61.9%	65.4%	75.0%	73.0%	52.9%	42.7%	34.5%	27.7%	46.4%	69.4%	38.1%	25.9%
Pretax profit	61.7%	61.0%	36.7%	32.0%	59.6%	74.9%	73.4%	71.4%	52.2%	31.8%	34.5%	27.9%	45.2%	70.3%	35.4%	26.6%
Net profit	60.3%	60.7%	39.1%	35.0%	58.3%	77.4%	68.7%	65.6%	50.9%	32.7%	32.4%	28.0%	46.4%	67.6%	34.9%	26.6%

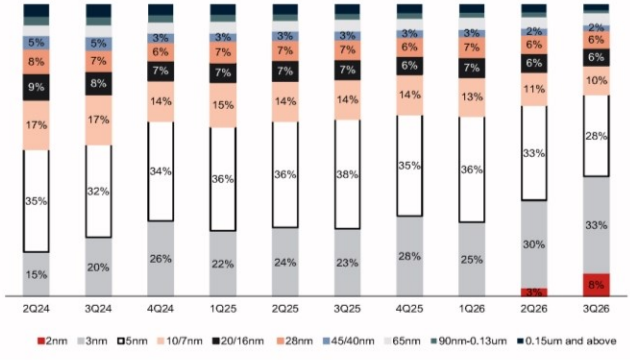
Source: Company data, Nomura estimates

Fig. 5: Nomura forecasts vs Bloomberg consensus for 2026-28F

	2026F			2027F			2028F		
(TWD mn)	NMR	BBG	Diff.	NMR	BBG	Diff.	NMR	BBG	Diff.
Revenue	5,600,789	5,472,500	2.3%	7,751,132	7,483,155	3.6%	9,739,884	9,639,866	1.0%
Gross profit	3,728,300	3,663,675	1.8%	5,198,540	5,027,558	3.4%	6,542,773	6,482,328	0.9%
Operating profit	3,279,070	3,252,106	0.8%	4,527,929	4,503,811	0.5%	5,700,100	5,686,175	0.2%
Pretax profit	3,476,635	3,429,953	1.4%	4,707,596	4,655,728	1.1%	5,959,908	5,876,167	1.4%
Net profit	2,879,696	2,833,443	1.6%	3,883,659	3,823,921	1.6%	4,916,816	4,853,806	1.3%
EPS (TWD)	111.06	108.33	2.5%	149.77	145.23	3.1%	189.61	185.77	2.1%
Margin	**NMR**	**BBG**	**Diff.**	**NMR**	**BBG**	**Diff.**	**NMR**	**BBG**	**Diff.**
Gross margin	66.6%	66.9%	-38bps	67.1%	67.2%	-12bps	67.2%	67.2%	-7bps
Operating margin	58.5%	59.4%	-88bps	58.4%	60.2%	-177bps	58.5%	59.0%	-46bps
Pretax margin	62.1%	62.7%	-60bps	60.7%	62.2%	-148bps	61.2%	61.0%	23bps
Net margin	51.4%	51.8%	-36bps	50.1%	51.1%	-100bps	50.5%	50.4%	13bps

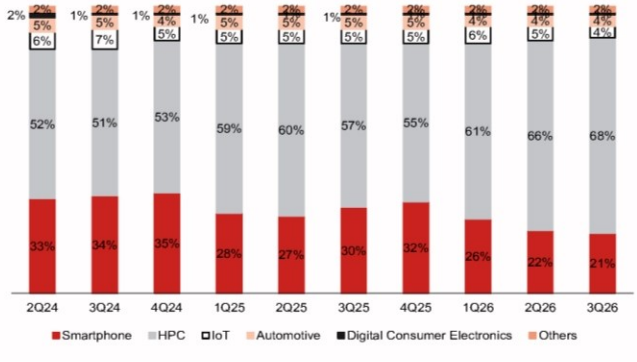
Source: Bloomberg Finance L.P. consensus, Nomura estimates

Fig. 6: TSMC – wafer revenue mix by technology



Source: Company data, Nomura research

Fig. 7: TSMC – revenue mix by platform



Source: Company data, Nomura research

Fig. 8: TSMC's quarterly revenue breakdown

USD mn	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26
Wafer revenue by technology										
2nm									1,011	3,177
3nm	2,786	4,020	6,007	4,872	6,030	6,640	8,006	7,785	10,144	13,105
5nm	6,479	6,351	7,918	7,738	9,328	10,805	10,082	11,117	11,079	11,119
10/7nm	3,126	3,407	3,256	3,291	3,512	3,920	4,023	4,079	3,856	3,971
20/16nm	1,662	1,594	1,589	1,476	1,834	1,959	1,804	2,075	2,190	2,383
28nm	1,563	1,470	1,457	1,604	1,758	1,980	1,889	2,198	2,130	2,383
45/40nm	853	924	740	618	811	877	768	770	838	794
65nm	641	746	836	808	896	1,089	1,079	1,211	1,228	1,588
90nm-0.13um	541	577	603	529	576	595	552	536	560	397
≥0.15um	783	871	848	781	870	920	886	873	942	794
Total wafer revenue	**18,433**	**19,959**	**23,254**	**21,718**	**25,615**	**28,785**	**29,089**	**30,644**	**33,977**	**39,712**
Sequential change	*10.9%*	*8.3%*	*16.5%*	*-6.6%*	*17.9%*	*12.4%*	*1.1%*	*5.3%*	*10.9%*	*16.9%*
Technology mix										
2nm									3%	8%
3nm	15%	20%	26%	22%	24%	23%	28%	25%	30%	33%
5nm	35%	32%	34%	36%	36%	38%	35%	36%	33%	28%
10/7nm	17%	17%	14%	15%	14%	14%	14%	13%	11%	10%
20/16nm	9%	8%	7%	7%	7%	7%	6%	7%	6%	6%
28nm	8%	7%	6%	7%	7%	7%	6%	7%	6%	6%
45/40nm	5%	5%	3%	3%	3%	3%	3%	3%	2%	2%
65nm	3%	4%	4%	4%	3%	4%	4%	4%	4%	4%
90nm-0.13um	3%	3%	3%	2%	2%	2%	2%	2%	2%	1%
≥0.15um	4%	4%	4%	4%	3%	3%	3%	3%	3%	2%
Net revenue by platform										
HPC	10,864	12,045	14,284	15,002	18,070	18,676	18,701	21,991	26,277	31,675
Smartphone	6,880	7,967	9,289	7,105	8,049	9,921	10,657	9,310	8,964	9,743
IoT	1,155	1,555	1,319	1,178	1,426	1,780	1,766	1,950	2,027	2,093
Automotive	1,043	1,104	1,169	1,309	1,386	1,691	1,613	1,475	1,698	2,064
DCE	437	353	331	351	483	402	304	381	400	348
Others	444	481	493	581	655	626	690	792	834	798
Net revenue	**20,822**	**23,504**	**26,884**	**25,526**	**30,070**	**33,097**	**33,731**	**35,898**	**40,201**	**46,720**
Sequential change	*10.3%*	*12.9%*	*14.4%*	*-5.1%*	*17.8%*	*10.1%*	*1.9%*	*6.4%*	*12.0%*	*16.2%*
Platform mix										
HPC	52%	51%	53%	59%	60%	56%	55%	61%	65%	68%
Smartphone	33%	34%	35%	28%	27%	30%	32%	26%	22%	21%
IoT	6%	7%	5%	5%	5%	5%	5%	5%	5%	4%
Automotive	5%	5%	4%	5%	5%	5%	5%	4%	4%	4%
DCE	2%	2%	1%	1%	2%	1%	1%	1%	1%	1%
Others	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%

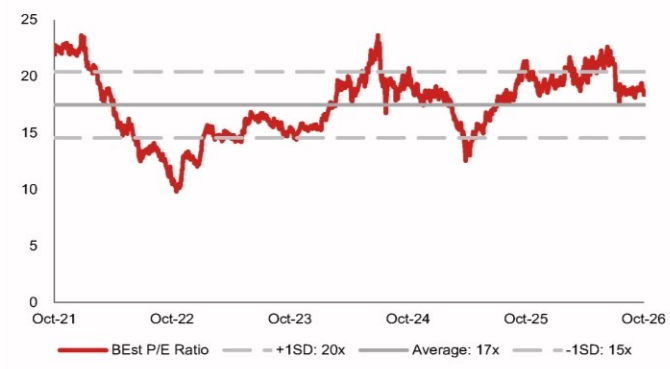
Note: 3Q26 figures are preliminary (unaudited).
Source: Company data, Nomura estimates

Valuation methodology and risks

We keep our TP of TWD3,745, which is based on 25x 2027F EPS of TWD145. Our target P/E multiple is at the higher end of TSMC's historical range of 10-30x. The stock is currently trading at 16x 2027F EPS.

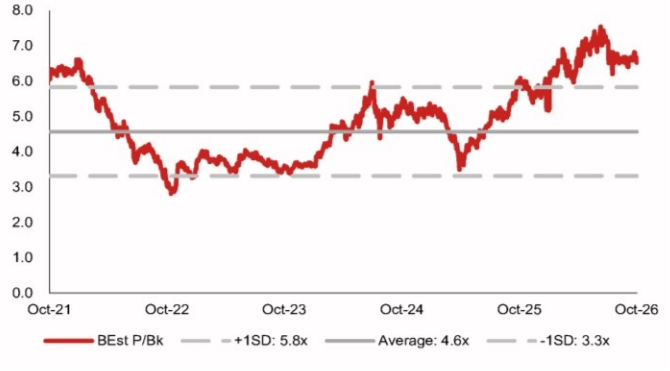
Major downside risks: 1) top-down macro issues owing to the ongoing US-China trade tensions; 2) weaker-than-expected sell-through compared with the strong demand in the supply chain; 3) slower-than-expected technology migration; and 4) stronger-than-expected competition in advanced 5/3nm nodes.

Fig. 9: TSMC's consensus P/E ratio



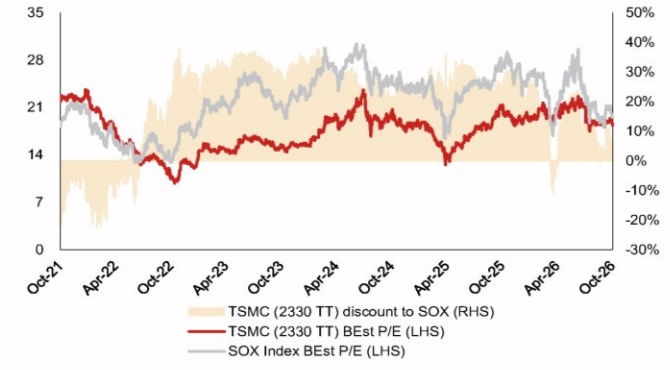
Source: Bloomberg Finance LP, Nomura research

Fig. 10: TSMC's consensus P/B ratio



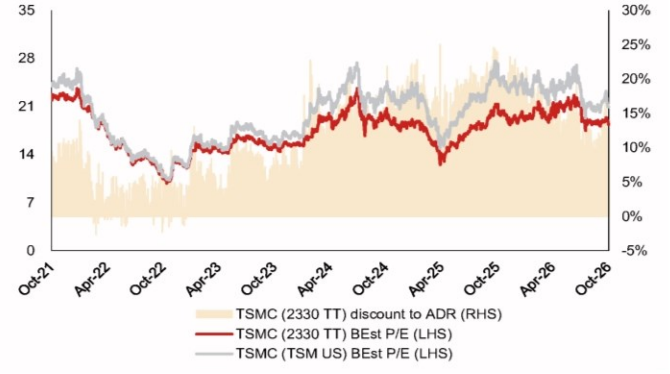
Source: Bloomberg Finance LP, Nomura research

Fig. 11: TSMC — valuation vs. SOX Index



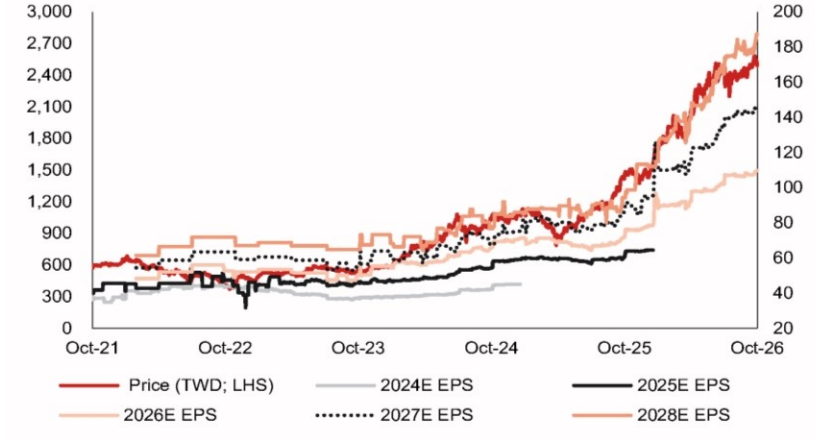
Source: Bloomberg Finance LP, Nomura research

Fig. 12: TSMC — valuation vs. TSMC's ADR



Source: Bloomberg Finance LP, Nomura research

Fig. 13: TSMC's share price vs Bloomberg consensus EPS revisions



Source: Company data, Bloomberg Finance L.P. consensus estimates, Nomura research

TSMC: 3Q26 analysts briefing summary

Below comments are from TSMC's management, unless otherwise stated:

Results summary

- 3Q26 revenue was up 17.6% q-q (in TWD terms), as the business was supported by strong demand for advanced nodes. Revenue in USD terms was at USD46.7bn (+16.2% q-q) vs. guidance of USD44.6-45.8bn.
- GM was down 1.3pp q-q to 66.4%, primarily due to the margin dilution from initial N2 ramp-up (vs. GM guidance of 65-67%).
- Opex was 7.8% of revenue (vs. 7.8% in 2Q26), and OpM was down 1.6pp q-q to 58.7% vs. guidance of 56-58%.
- 3Q26 wafer revenue by technology
  - 2nm 8%, 3nm 33%, 5nm 28% and 7nm 10%.
  - Advanced nodes (7nm and below) 79%.
- 3Q26 revenue by platform
  - HPC was up 22% q-q to account for 68% of revenue.
  - Smartphone was up 10% q-q to 21% of revenue.
  - IoT grew 5% q-q to 4% of revenue.
  - Automotive was up 23% q-q to 4% of revenue.
  - DCE was down 12% q-q to 1% of revenue.
- Balance sheet and cash flow line items
  - AR turnover was down 1 days q-q to 28 days.
  - Inventory days were down 5 days q-q to 82 days primarily due to the increase in wafer shipments.
  - Capex was at USD13.8bn in 3Q26.
- Guidance
  - 4Q26E revenue to be USD52.3-54.3bn, +14% q-q or +58% y-y at the midpoint.
  - FX at TWD31.80/USD.
  - GM 65-67%.
  - OpM 56.5-58.5%.

CFO's key message

- 3Q26 GM was down 130bp q-q to 66.4%, primarily due to the initial ramp-up of N2.
- At the midpoint of 4Q26 guidance, GM will be down 40bp q-q to 66% primarily due to continued dilution from steep ramp-up of N2 and overseas fabs. These impacts are expected to be partially offset by cost improvement efforts, including productivity gains and cross-node capacity optimization.
- While the cost of overseas fabs is higher, TSMC expects ~2pp GM dilution from overseas fabs in 2026 thanks to an overall larger scale and cost improvement efforts.
- Expects overseas fab dilution to widen to 3-4pp in the next few years. TSMC will leverage the increasing size in Arizona and cost structure improvement, and work closely with customers and suppliers to manage the impact.
- Confident to be the most cost-efficient manufacturer in every region TSMC operates.
- 2026 capex plan
  - Capex is correlated with the growth opportunities in the following years.
  - Reiterates 2026E capex guidance of USD60-64bn.

- Investments in 2026-28 will be even more significantly higher than prior years to support customer growth.
- Does not foresee any bottleneck for capacity expansion as TSMC works with tool suppliers well in advance.
- Remains committed to delivering profitable growth and a sustainable and steadily increasing cash dividend per share on both annual and quarterly basis.

CEO's key message

- Near-term demand outlook
  - Expects 4Q26 business to be supported by continued strong demand for leading-edge technologies including the ramp of N2.
  - Continues to observe that consumer and price-sensitive market segments are challenged by the impact of rising component prices and macro uncertainty. TSMC is prudent in business planning into 2027 and focuses on the fundamentals of its business.
  - Now expects TSMC's 2026E revenue to grow around 44% y-y in USD terms.
- AI
  - Observes increasing AI demand fueled by the rising adoption of agentic AI.
  - Sees greater adoption of open-source AI models to drive greater efficiency and lower the barrier of future AI usage; therefore there could be more demand for leading-edge silicon.
  - AI demand is driven by accelerators, and agentic AI CPU and networking are driving further demand growth.
  - No matter which approach is taken, it requires the most advanced semiconductor process and with TSMC's technology leadership, manufacturing excellence, global capacity expansion and customer trust, it is well-positioned to capture multi-year AI demand.
- Capacity expansion
  - According to TSMC, it is sending the team to check the data build-out progress and power supply status. So far everything is so good and the CSPs are well-prepared.
  - Internally, TSMC has a disciplined capacity planning system to assess demand from both top-down and bottom-up angles.
  - TSMC has very good idea about customers' multi-year product roadmap and their production plans.
  - TSMC is stepping up capex investments to support customers' future growth. The expansion pace is unprecedented with ~20 fabs worldwide in progress. TSMC is building 13 leading-edge fabs and advanced packaging factories in Taiwan, and 5-6 fabs overseas.
  - 2nm annual capacity will be more than doubled in 2027 supported by smartphone and HPC applications. TSMC leverages manufacturing excellence to support N2 demand.
  - Prepares for A14 and the risk production is on track for 2027. The volume production will be in 2028.
- N3
  - Executes well to add three new N3 fabs in Taiwan, Japan and the US.
  - A new N3 fab in Tainan is on track to begin in 1H27. TSMC has also decided to add one more N3 fab in Tainan, slated for operations in 1H28.
  - Arizona P2 construction has been completed, and TSMC is moving in tools for installation. The fab will be operational from 3Q27, slightly ahead of previous schedule.
  - The second fab in Japan will be for N3, slated for production in 2028.

- In addition to all new fabs, TSMC continues to convert N5 tools to support N3 capacity in Taiwan. It is also leveraging manufacturing excellence to drive greater productivity across fabs to generate more output.
- TSMC also focuses on capacity optimization across nodes, including flexible capacity support among N7/N5/N3.
- No intention to leave the food on the table for others. TSMC wants to capture all business as possible.

Q&A

- AI semi
  - Demand is very robust. TSMC does not see any sign of slowdown, and whether the growth is high-50% CAGR or not does not matter at all.
  - AI demand is robust, whether from accelerators, or from CPUs. The demand for agentic AI CPU is increasing. The demand is above what TSMC can support.
  - CPU is not included in AI demand calculation due to the difficulty in identifying the end uses.
- Capex and capacity planning
  - TSMC has a very sophisticated capacity planning process and a great discipline on the consideration. It puts every possibility as it can - looking at CSP capex, data center build, power supply, financing, etc. - and exercises TSMC's own judgement. Based on TSMC's evaluation, the demand is high and it works hard to close the supply gap.
  - The demand is robust and growing. TSMC has its own judgement, talks to customers and customers' customers and checks the data center buildout. Demand is really high, and the supply/demand gap is substantial. Hence, TSMC has to work on the expansion. Whether the gap will be narrowed, TSMC is unable to answer this right now.
  - The capacity increase every year is small, but the main drivers of capacity increases are advanced nodes.
  - TSMC does not allow customers to sublet or auction their capacity. In some cases, customers can collaborate through mask licensing agreements but this is not the common practice. The amount is very small.
  - It is too early to share capex beyond 2026. But TSMC has a very strong conviction on AI demand, and 2026-28 capex should be significantly higher than prior years. It has no intention to leave the opportunities on the table. Tool price inflation is real (tool price, material, labor cost and others), and that is a composite of the capex. TSMC still thinks the increase in revenue should be higher than the increase in capex.
- High-NA EUV
  - Continues to improve productivity, and High-NA EUV is a good tool. TSMC's current plan is to adopt the tool in 2030.
  - Always evaluates new technology, but TSMC only adopts new tools if they can deliver the best cost and, more importantly, the best technological maturity. 2030 is the expected time when High-NA EUV could be more mature. TSMC also works closely with ASML (ASML NA, Not rated), and does not think it could trail behind competitors simply because of a slower adoption of High-NA EUV.
- Overseas fabs
  - TSMC works hard to expand in the US because all of TSMC's customers in the US request for capacity support and the US government is very supportive. TSMC is thinking about capacity expansion outside Arizona, and Texas is one of them. TSMC has a team to evaluate the buildout in Texas.
  - TSMC is also in discussion with TeraFab (unlisted) whether it can utilize the capacity there. A lot of details are in discussion, but the baseline is that the fab has to be run by TSMC.

- Competition
  - TSMC treats all customers fairly, whether they are IDMs or fabless. TSMC takes IDM customers' internal capacity into consideration in the allocation schemes and expansion.
  - TSMC sees higher customer activities in A14 than N2, and it could be a larger node than N2. No comment on whether this assessment has accounted for the IDM customer's outsourcing.
- Pricing and profitability
  - There is no ceiling for TSMC's profitability, but dramatic increase does not happen overnight. It works with customers and suppliers together.
  - TSMC does whatever it can to increase capacity to meet the strong demand. It accelerates the builds everywhere, including in the US. The GM dilution will be 3-4pp in the second part of the five-year period.
  - TSMC's pricing strategy is very strategic, depending on the technology, geographical flexibility, market segments, etc. TSMC tries to get its value recognized.
- Advanced packaging
  - TSMC is very competitive in advanced packaging, and uses the technology to help customers' time to market. This is TSMC's No.1 purpose. 5x reticle CoWoS is in production with excellent yields, and customers are satisfied with the results. TSMC is working toward 14x reticle size CoWoS as well as CoPoS (hopefully for more cost reduction).
  - A smooth rollout of TSMC's customers' products is the No.1 priority.
  - TSMC has a deal with GlobalFoundries (GFS US, Not rated) as part of its backend supply because TSMC wants to support its customers as much as it can.
- Technology
  - Smartphone and AI/HPC demand is strong. The larger die size of processor is to TSMC's advantage. There is a learning curve, but TSMC is doing a great job.
  - Power supply is a factor to look at for AI/data centers. Whether the power supply constraints could drive more interests in backside power or not – the answer is no because the metallization is based on the need of products. Mobile devices do not adopt backside power.

Appendix A-1

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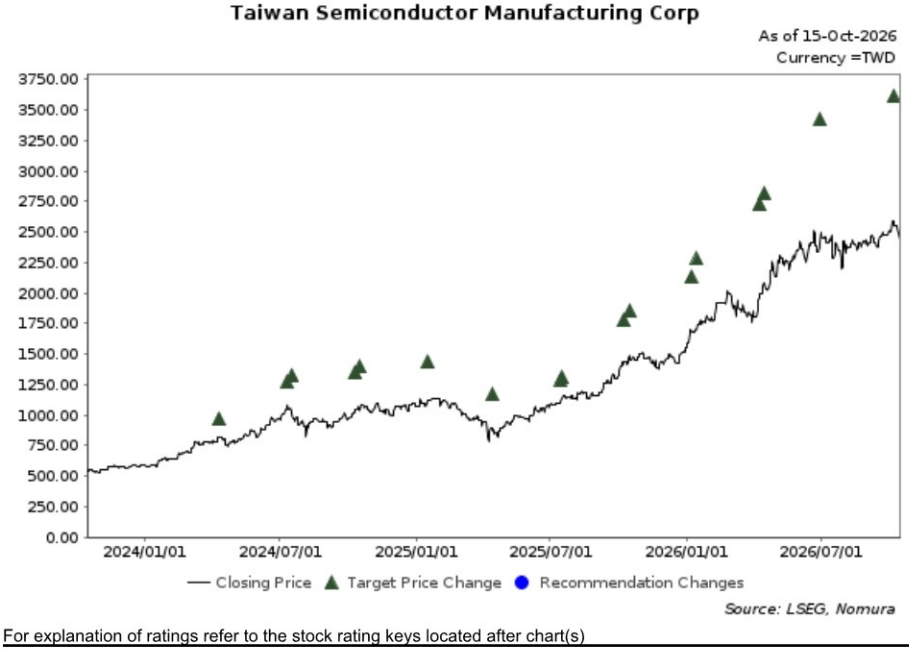
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Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Taiwan Semiconductor Manufacturing Corp	2330 TT	TWD 2,440.00	15-Oct-2026	Buy	N/A	

Taiwan Semiconductor Manufacturing Corp (2330 TT) **TWD 2,440.00 (15-Oct-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
07-Oct-26		3,615.00	2,585.00
30-Jun-26		3,425.00	2,410.00
16-Apr-26		2,820.00	2,085.00
09-Apr-26		2,735.00	1,955.00
15-Jan-26		2,280.00	1,690.00
07-Jan-26		2,135.00	1,675.00
16-Oct-25		1,855.00	1,485.00
08-Oct-25		1,780.00	1,415.00
17-Jul-25		1,310.00	1,130.00
15-Jul-25		1,280.00	1,110.00
14-Apr-25		1,170.00	865.00
17-Jan-25		1,440.00	1,120.00
17-Oct-24		1,400.00	1,035.00
11-Oct-24		1,355.00	1,045.00
18-Jul-24		1,330.00	1,005.00
11-Jul-24		1,270.00	1,080.00
10-Apr-24		975.00	815.00

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of TWD3,745 is based on 25x 2027F EPS. Our target P/E is at the higher end of historical range. The benchmark index for the stock is Taiwan TAIEX and SOX.
Risks that may impede the achievement of the target price Major downside risks are: 1) top-down macro issues because of US-China trade tensions; 2) weaker-than-expected sell-through compared with strong demand in the supply chain; 3) slower-than-expected technology migration; and 4) stronger-than-expected competition in advanced 5/3nm nodes.

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As at 30 September 2026.
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